

TEXTcoin: A Peer-to-Peer Layer 1 Currency for an Independent Texas

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Abstract.

A purely peer-to-peer version of electronic cash should let value move between ordinary people without permission from banks, megacorporations, or foreign mining cartels. Bitcoin proved the model and then drifted from it: slow blocks, high fees, industrial mining, and an exchange-mediated economy in which less than one percent of coins ever pay for goods or services. TEXTcoin (TXC) is a Layer 1 Scrypt Proof-of-Work blockchain forked from Litecoin and tuned for everyday trade: 3-minute blocks, a 254 TXC starting reward, a hard cap of 353,396,296 coins, zero pre-mine, and a halving roughly every 695,662 blocks that stretches issuance across about 138 years. Mining is permissioned to Texas to keep the network decentralized among individuals rather than captured by overseas conglomerates, and TXC merge-mines with Litecoin and Dogecoin so participants earn without subsidising an electric bill. This paper documents the team, the tokenomics, the ethos behind the project, and the roadmap toward an honest, usable digital currency for Texas and anyone who wants to trade with us on honest terms.

1. Introduction

Bitcoin was launched in 2008 as peer-to-peer electronic cash. Sixteen years later it is a globally recognised store of value, but it is no longer cash. Confirmations are slow, fees are unpredictable, profitable mining requires industrial-scale ASIC farms in a handful of jurisdictions, and the bulk of trading volume now flows through centralised exchanges and custodians. The blockchain remains decentralised; the economy around it has not. Less than one percent of cryptocurrency volume is ever spent on goods or services.

TEXTcoin is an attempt to recover the original peer-to-peer promise with the benefit of more than a decade of hindsight. TXC is not a meme, a governance token, or a wrapper around someone else's chain. It is a Layer 1 blockchain with its own miners, its own block reward, its own cap, and a specific community it is built to serve: Texans, and anyone who wants to trade with Texans on honest terms.

The remainder of this paper describes the team behind the project (Section 2), the tokenomics and emission schedule (Section 3), the ethos that guides design and policy decisions (Section 4), and the roadmap from launch in January 2024 through the build-out of the world's largest decentralised Scrypt mine (Section 5).

2. Team

TEXTcoin is built by a team with nearly two decades of experience in alternative currencies, manufacturing, blockchain engineering, and community building. The project rejects pseudonymity: the people behind TXC are public, named, and accountable.

2.1 Bobby Gray — Founder

Bobby Gray founded the American Open Currency Standard in 2008 and has spent the years since manufacturing gold, silver, and copper coins for hundreds of causes, from the Lakota Crazy Horse rounds to Ron Paul coins distributed through Provident Metals, JM Bullion, and APMEX. In 2012 he testified before the U.S. House Financial Services Subcommittee on Domestic Monetary Policy on “Parallel Currencies: The Roadmap to Monetary Freedom,” and in the same year produced the original physical Bitcoin coin. In 2017 he launched the Bitcoin Cold Storage Coin line, providing secure offline custody to ordinary holders. TEXTcoin is the natural continuation of that work: honest money, now at digital speed.

2.2 Core Contributors

- **Bohdan Shlikhutka.** Application Architect — lead on wallet, explorer, and pool infrastructure.
- **Vitalii Ovodenko.** Network Security — node operations, hardening, and incident response.
- **Eddie Allen.** Currency Director — merchant adoption and complementary-currency operations.
- **Kira Gray.** Events — conferences, the weekly Honest Money Hour, and community programming.
- **Wit Olszewski.** Creative — brand, content, and storytelling.

The full and current roster, including new additions, is maintained at textcoin.org/team.

3. Tokenomics

TEXTcoin is structurally similar to Litecoin: a Scrypt Proof-of-Work chain with predictable, mechanical issuance and no governance lever for inflation. Every TXC in existence enters circulation through mining. There is no pre-mine, no team allocation, no foundation treasury, no VC round, and no vesting cliff that unlocks supply onto holders.

3.1 Specifications

Parameter	Value
Consensus	Proof of Work (Scrypt)
Layer	1 (own chain, forked from Litecoin)
Block time	~3 minutes
Initial block reward	254 TXC
Halving interval	695,662 blocks
Maximum supply	353,396,296 TXC
Approximate emission window	~138 years to final block
Pre-mine	0 TXC
Team / foundation allocation	0 TXC
VC / private sale allocation	0 TXC
Confirmations to finality (recommended)	6 blocks
Merge mining	Litecoin (LTC), Dogecoin (DOGE)

Mining jurisdiction	Permissioned to Texas
Genesis timestamp	“You may all go to hell and I will go to Texas.”
First block mined	January 26, 2024

3.2 Emission and Halvings

Each block pays the miner who solves it 254 TXC at the genesis epoch. The reward halves automatically every 695,662 blocks. With a target block time of three minutes, a single halving epoch lasts roughly four years. The geometric sum of all halving epochs converges on 353,396,296 TXC. Because issuance is mechanical and inflation only decreases, the long-term supply curve is fully knowable from the genesis block forward.

3.3 Distribution

One hundred percent of TXC is distributed through Proof-of-Work mining. Mining pool participants are limited to a maximum of nine shares each, which prevents any single participant from cornering hash power and keeps the network economically decentralised among individuals. Hash power can be purchased directly or earned through a referral programme that rewards members for bringing other miners and merchants on board.

3.4 Why Merge Mining

Bitcoin demonstrated that Proof-of-Work secures a chain in proportion to the value miners can extract from it. A young chain mined in isolation is vulnerable and expensive to secure. By merge-mining with Litecoin and Dogecoin, TXC participants apply the same Script work to several chains at once, capture rewards on each, and offset their electricity costs without compromising the security of any participating chain. The effect is that Texans can profitably run miners at home rather than ceding the network to industrial farms abroad.

4. Ethos

Money is the language of civilisation. When it is honest, free people trade as equals; when it is debased, the people closest to the printer eat first and everyone else eats less. The team behind TXC has fought this fight since 2008, first with metal and now with cryptography. The conviction has not changed; only the tools have.

4.1 Against the Cantillionaires

For a century, the people who print the money and the friends who receive it first have rigged the game. Honest money breaks that game. Trade and the equal exchange of value is how free people deal with one another. TXC has no issuer who can inflate the supply, no admin key that can pause transfers, and no foundation account that vests new coins onto the market.

4.2 Crypto Lost Its Way

Bitcoin proved that decentralised, people-driven money is possible. Then crypto became an online casino: leverage, memecoins, governance theatre, and a small number of exchanges custodying the bulk of supply. The industry needs leadership willing to choose usability over speculation, community over corporations, and honest promises over endless printing. TXC is built around that choice.

4.3 Built by Texans, for Everyone

TEXTcoin is a Texas-focused currency: mined in Texas, secured by Texans, and traded first among Texans for goods and services. Six flags have flown over Texas. It is the only U.S. state that was once its own great nation, joining the union by treaty in 1845, and it retains control of its own power grid. As the United States changes, Texas is preparing for whatever comes next. TXC is the digital-currency foundation underneath that preparation. The mission is local; the trade is global.

4.4 Community, Fun, and Profit

TEXTcoin exists for three reasons. **Community:** it starts with the individual, then radiates out to family and neighbours. **Fun:** if we cannot enjoy the fight for freedom, we are doing it wrong. **Profit:** the more honest money each member holds, the more freedom they have to shape their own future. None of these is optional, and none takes priority over the others.

“Real money should be for the people, by the people. An honest currency is the cornerstone of a civil society.”

5. Roadmap

TEXTcoin shipped first and announced second. The roadmap below documents what has already been delivered and what is under active development.

5.1 Delivered

- **Genesis (Jan 26, 2024).** First TXC block mined after 12+ years of research, study, and reflection on the failure modes of existing cryptocurrencies.
- **Network permissioning (Block 31,343).** Brief offline period to deploy node security update; TXC network successfully implemented Texas-permissioned mining.
- **Cold Storage Coin.** Sleek copper TXC cold-storage wallet manufactured by Blockchain Mint, debuted at Consensus 2024 in Austin.
- **100 active miners (Jun 8, 2024).** TXC welcomes its 100th mining member.
- **Public exchange listing (Jun 11, 2024).** TXC/USDT trade pair live on dex-trade.com.
- **100,000+ MH/s.** Network hash rate crosses one tenth of one percent of the long-term target.
- **CoinMarketCap listing.** TXC indexed on CoinMarketCap with live price, supply, and market-cap data.
- **wTXC on Ethereum.** 1:1 backed ERC-20 wrapper available for DeFi participants who prefer to hold TXC inside the Ethereum ecosystem.

5.2 In Progress

- **Mobile wallet (iOS & Android).** A fork of Blue Wallet enabling send, receive, and cold-storage recovery for TXC.
- **TEXTcoin Pizza Day.** First commercial TXC transaction at Heirloom Pizza, Plano, TX — the local echo of Bitcoin Pizza Day.
- **Merge mining live.** Simultaneous Scrypt mining of TXC alongside LTC and DOGE so miners offset electricity costs.

- **Custom in-home ASICs (~300 MH/s).** Household mining hardware engineered to surpass BTC in the number of independent miners participating.
- **Merchant network.** Door-to-door, business-by-business adoption of TXC for goods and services across Texas.
- **State-level integration.** Conversations with Texas-first candidates, organisations, and campaign infrastructure to use TXC for donations and in-kind contributions where lawful.

5.3 Long Horizon

- **100 million MH/s decentralised mine.** 35 sites, 35 megawatts, and a million members — sufficient to push TXC into the global top tier of mineable cryptocurrencies.
- **Global export.** TXC minted in Texas and traded into Japan, Korea, and Chinese markets, with the resulting wealth flowing back to Texan communities.
- **Independence infrastructure.** A complementary currency ready for whatever sovereign arrangement Texans choose for themselves in the years ahead.

6. Conclusion

We have proposed a Layer 1 Proof-of-Work currency that returns to the original peer-to-peer promise of Bitcoin without inheriting its present failure modes. Fixed supply, mechanical issuance, no insider allocation, merge-mined security, individual-scale hardware, and a community organised around honest trade rather than speculation. The chain is live, the mine is growing, and the work continues block by block.

References

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